



THIS CIRCULAR IS IMPORTANT AND REQUIRES YOUR IMMEDIATE ATTENTION

This circular ("**Circular**") has been issued by Liberty Holdings Limited ("**Liberty Holdings**") and has been prepared in compliance with the requirements of the Capital Markets Act, Chapter 485A, Laws of Kenya ("**Capital Markets Act**") and the Capital Markets (Licensing Requirements) (General), Regulations, 2002 ("**Licensing Regulations**").

The Capital Markets Authority ("**Authority**") has approved the issue of this Circular. However, as a matter of policy, the Authority assumes no responsibility for the correctness of any statements or opinions made or reports contained in the Circular. Approval of the Circular by the Authority is not to be taken as an indication of the merits of the matter disclosed in this Circular or as a recommendation by the Authority to the shareholders of Liberty Kenya Holdings Plc ("**Liberty Kenya**").

If you are in any doubt about the information in this Circular you should consult your investment banker, stockbroker or other professional investment adviser.

This Circular is for information purposes only. You are not required to take any action.

Circular

to the shareholders of

Liberty Kenya Holdings Plc

in respect of

the transfer of: (i) 49,543,920 ordinary shares in the capital of Liberty Kenya (the "Ordinary Shares") to Liberty Holdings by the Conrad N. Hilton Foundation, Kimberlite Frontier Africa Master Fund, L.P. and Vanderbilt University; and (ii) 34,692,010 Ordinary Shares to Liberty Holdings by Coronation Africa Frontier Fund and Coronation All Africa Fund

24 June 2021

Liberty Holdings Limited
Liberty Centre, 1 Ameshoff Street, Braamfontein 2001
PO Box 10499, Johannesburg 2000

Dear Liberty Kenya shareholder

Transfer of:

- (I) 49,543,920 Ordinary Shares to Liberty Holdings by the Conrad N. Hilton Foundation (the “Foundation”), Kimberlite Frontier Africa Master Fund, L.P. (“KFAMF”) and Vanderbilt University (“Vanderbilt” and together with the Foundation and KFAMF, the “KFAMF Sellers”); and
- (II) 34,692,010 Ordinary Shares in Liberty Kenya to Liberty Holdings by Coronation Africa Frontier Fund (“CAFF”) and Coronation All Africa Fund (“CAAF” and together with CAFF, the “Coronation Sellers” and further, the Coronation Sellers together with the KFAMF Sellers are referred to below as the “Sellers”).

Background

The applicant

Liberty Holdings (registration number 1968/002095/06) is a public company duly incorporated in South Africa on 28 February 1968. Liberty Holdings was founded in 1968 as Investors Equity Trust Limited. In October 1968, it changed its name to Guardian Assurance Holdings (South Africa) Limited and later to Liberty Holdings Limited on 03 October 1978. Some 52 years later, and with a presence in 24 countries across the African continent, Liberty Holdings is now a pan-African financial services company, offering asset management, investment, insurance and health products to 3.2 million people across Africa. For more information on Liberty Holdings please see section entitled “*Information on the buyer*” below.

Currently, Liberty Holdings holds 57.743% of the issued shares in Liberty Kenya being 309,333,535 Ordinary Shares.

The sellers

The KFAMF Sellers currently hold 9.248% of the total issued shares in Liberty Kenya being in aggregate 49,543,920 Ordinary Shares.

The Coronation Sellers currently hold 6.476% of the total issued shares in Liberty Kenya, being 34,692,010 Ordinary Shares.

For more information on the Coronation Sellers and the KFAMF Sellers please see below sections entitled “*Information on the sellers in respect of the Proposed KFAMF Transaction*” and “*Information on the sellers in respect of the Proposed Coronation Transaction*” below.

Proposed Acquisitions

General information on Proposed Acquisitions

Liberty Holdings intends to increase its current shareholding in Liberty Kenya by: (i) acquiring from the KFAMF Sellers the 49,543,920 Ordinary Shares (“**KFAMF Sale Shares**”) constituting 9.248% of Liberty Kenya’s issued share capital (the “**Proposed KFAMF Transaction**”); and (ii) acquiring from the Coronation Sellers 34,692,010 Ordinary Shares (“**Coronation Sale Shares**” and together with the KFAMF Sale Shares, the “**Sale Shares**”), constituting 6.476% of Liberty Kenya’s issued and listed share capital (the “**Proposed Coronation Transaction**” and together with the Proposed KFAMF Transaction, the “**Proposed Acquisitions**”). Whilst the Proposed Coronation Transaction and the Proposed KFAMF Transaction are separate and divisible transactions, it is intended that both the Proposed Coronation Transaction and the Proposed KFAMF Transaction will complete simultaneously.

Details of transaction documents

Liberty Holdings:

- (i) and the KFAMF Sellers entered into a conditional share sale agreement dated 4 March 2021 in respect of the Proposed KFAMF Transaction; and
- (ii) and the Coronation Sellers entered into a conditional share sale agreement dated 4 March 2021 in respect of the Proposed Coronation Transaction.

The conditions under each of the share sale agreements described above are set out in the section below entitled “*Other regulatory approvals*”.

Upon completion of the acquisition of the Sale Shares, Liberty Holdings will legally and beneficially own a total of 73.467% of the issued share capital of Liberty Kenya, being 393,569,465 Ordinary Shares.

Liberty Holdings is effecting the Proposed Acquisitions on the basis that:

- (i) **The Proposed Acquisitions enable the Sellers to dispose of their shares in an efficient and orderly manner preserving the Kenyan capital market's reputation as an attractive and efficient market for institutional investors.** The Sellers are international investors who purchased the shares they own in Liberty Kenya in 2016 and 2017 and now wish to dispose of their entire shareholding for portfolio management reasons. However, it is likely that the Sellers would find it difficult to find a sufficient number of third-party buyers for their shares in Liberty Kenya to enable them to dispose of their entire shareholding via sales across the NSE within a reasonable time period. This is because the number of shares that the Sellers wish to sell (84.2 million shares) exceed the annual trading volumes on the exchange by a very significant amount. In 2019 an aggregate of 2.02 million Liberty Kenya shares and in 2020 an aggregate of 1.37 million Liberty Kenya shares were traded on the NSE. Further, if the Sellers were to place their entire holding for sale on the exchange over an extended period – it is likely that Liberty Kenya's share price would be adversely impacted by the excess supply. The Proposed Acquisitions would enable the Sellers to sell their entire holding to a willing buyer in Liberty Holdings in an efficient and timely manner that, in turn, should help preserve: (i) the reputation of the Kenya capital markets as an attractive and liquid market for international investors; and (ii) foreign capital investment in Kenya, avoiding the outflow of foreign currency should the Sale Shares be sold to local investors.
 - (ii) **The Proposed Acquisitions enable Liberty Holdings to increase its strategic stake in Liberty Kenya reaffirming its commitment to Liberty Kenya and the Kenyan and wider East African economies.** Liberty Holdings regards Kenya and the wider region as its strategic growth markets that will help Liberty Holdings to fulfil its vision to be a leading insurance organisation in, for and across Africa, delivering exceptional experience and superior value to Liberty's customers. Effecting the Proposed Acquisitions is part of Liberty Holdings' commitment to, and focus on, growing the business in the African continent and is a demonstration of long-term confidence in Liberty Kenya and in the Kenyan and the wider East African insurance markets and economies generally. Liberty Holdings has over time invested in the Kenya business and its businesses elsewhere in the region and foresees the need to continue to support future investment for the businesses – especially in the capital intensive areas of new insurance products, information technology and advanced internet-enabled solutions for consumers.
- Liberty Holdings is typically a long-term strategic investor in the selected jurisdictions into which it invests. Liberty Holdings believes that it is critical for each of its subsidiaries to engage and enhance their corporate citizenship in these countries, through activities such as financial education, improving access to responsible value generating investment and risk products and partnering with policy makers to support best practice and growth in the financial services industry. Promotion and provision of access to the wider Liberty group's products allows for enhanced financial outcomes for customers in Kenya and the wider East African region. In addition, Liberty is committed to support social programmes, thereby contributing to the overall social advancement of the peoples of Kenya and the East African region in general.
- (iii) **The Proposed Acquisitions enable Liberty Holdings to improve the efficiency of its own regulatory capital management – increasing its ability to support Liberty Kenya and its businesses.** Liberty Holdings wishes to focus its attention on enhancing the efficiency of the capital structure of its investments. This includes (i) reviewing Liberty Holdings' allocation and deployment of long term strategic capital to subsidiaries in its African presence countries; and (ii) deployment of capital, where possible, to reduce capital inefficiencies and earnings dilution arising from its corporate structure. In particular, under South Africa's Solvency Assessment and Management framework requirements, increasing Liberty Holdings stake in Liberty Kenya will enable Liberty Holdings to match the actual investment more closely to regulatory capital that it is required to maintain in South Africa that will, in turn, improve Liberty Holdings' capacity to support further direct investments into Liberty Kenya.
 - (iv) **The Proposed Acquisitions may make it easier and faster for the Operating Companies (as defined below) to implement strategic and operational changes needed to deliver growth and business transformation.** Since Liberty Holdings' initial investment in Liberty Kenya, Liberty Life Assurance Company Kenya Limited ("**Liberty Life**") and The Heritage Insurance Company Kenya Limited ("**Heritage Kenya**"), which in turn owns 60% of the entire issued share capital of The Heritage Insurance Company Tanzania Limited ("**Heritage Tanzania**") and together with Liberty Life and Heritage Kenya, the "**Operating Companies**") have been subjected to a significant amount of internal re-organisation and alignment to Liberty group operational policies and practices and integration into group-wide management and reporting structures. Further the Operating Companies have benefited from access to both technical and managerial support from Liberty Holdings. In recent years, the business has aimed to transform itself to become more customer-centric and is looking to grow significantly. A further increase in the stake of Liberty Holdings in Liberty Kenya results in Kenya and the wider East African region becoming a greater focus based on total capital invested and is likely to mean that the Operating Companies attract higher priority attention to support and accelerate the operational changes required to deliver customer-centric growth that will be for the benefit of all stakeholders in the Liberty Kenya group, as well as the communities in which Liberty operates.

- (v) **The Proposed Acquisitions should help strengthen Liberty Kenya's capacity to fund investment required to support future growth.** After completion of the Proposed Acquisitions, Liberty Holdings will own a greater percentage of the issued share capital of Liberty Holdings (73.467% compared to 57.473% currently). This should mean that Liberty Kenya is better placed to raise additional capital should it prove necessary for Liberty Kenya to do so particularly if the COVID-19 Pandemic does result in a significant impact to the Operating Companies' balance sheets, or if the Operating Companies need additional capital for regulatory capital purposes and to invest in digitisation and customer experience improvements. This is because Liberty Holdings will be able to contribute up to 73.467% of the required capital proportionate to its shareholding leaving a smaller percentage to be funded by existing minority shareholders and new third party investors.

Impact of Proposed Acquisitions

The Proposed Acquisitions will have no impact on the number of shares held nor shareholding percentage owned by any other shareholder of Liberty Kenya. Table 2 sets out the pro-forma shareholding in Liberty Kenya before and after the Proposed Acquisitions.

Liberty Kenya will remain a direct subsidiary of Liberty Holdings after the Proposed Acquisitions albeit that the Proposed Acquisitions will result in Liberty Holdings increasing its shareholding from 57.743% to 73.467%. Liberty Kenya's ultimate holding company will remain Standard Bank Group Limited.

Liberty Holdings intends to continue to provide management and technical support to Liberty Kenya following completion of the Proposed Acquisitions. The Proposed Acquisitions will not have any impact on the management or board of Liberty Kenya as constituted and is not expected to have any immediate impact on the business, operations or finances of Liberty Kenya. As described in the section above, the Proposed Acquisitions may have the effect of improving Liberty Kenya's capacity to attract both (i) additional financial resources and, (ii) additional managerial and technical help to accelerate implementation of its growth ambitions.

Liberty Holdings has sought and been granted an exemption by the Authority under Regulation 5 from Regulation 4, in each case of the Capital Markets (Take-overs & Mergers) Regulations, 2002 ("**Take-over Regulations**") and, is therefore, not required under the Take-over Regulations or any other law or regulation to make a take-over offer for the shares of Liberty Kenya that it does not already own or which it will acquire under the Proposed Acquisitions described in this Circular. Liberty Holdings confirms that it will **not** be making a take-over offer for the remaining shares in Liberty Kenya, and Liberty Holdings confirms that it has no intention to do so, in connection with the Proposed Acquisitions.

The Proposed Acquisitions are for the purpose of a strategic investment in a listed company that is tied up with management or any other technical support relevant to the business of such company and permitting such an exemption will allow the maintenance of domestic shareholding for strategic reasons and serve the public interest.

Approval for the Proposed Acquisitions, consideration and post-transaction shareholding structure

Approval for the Proposed Acquisitions

Approval has been granted by the Authority under the provisions of section 31(1) of the Capital Markets Act and regulation 57(d) of the Licensing Regulations for the transfer of the KFAMF Sale Shares and the Coronation Sale Shares each by way of a "private transaction" as provided under section 31(1A)(i) of the Capital Markets Act.

Consideration

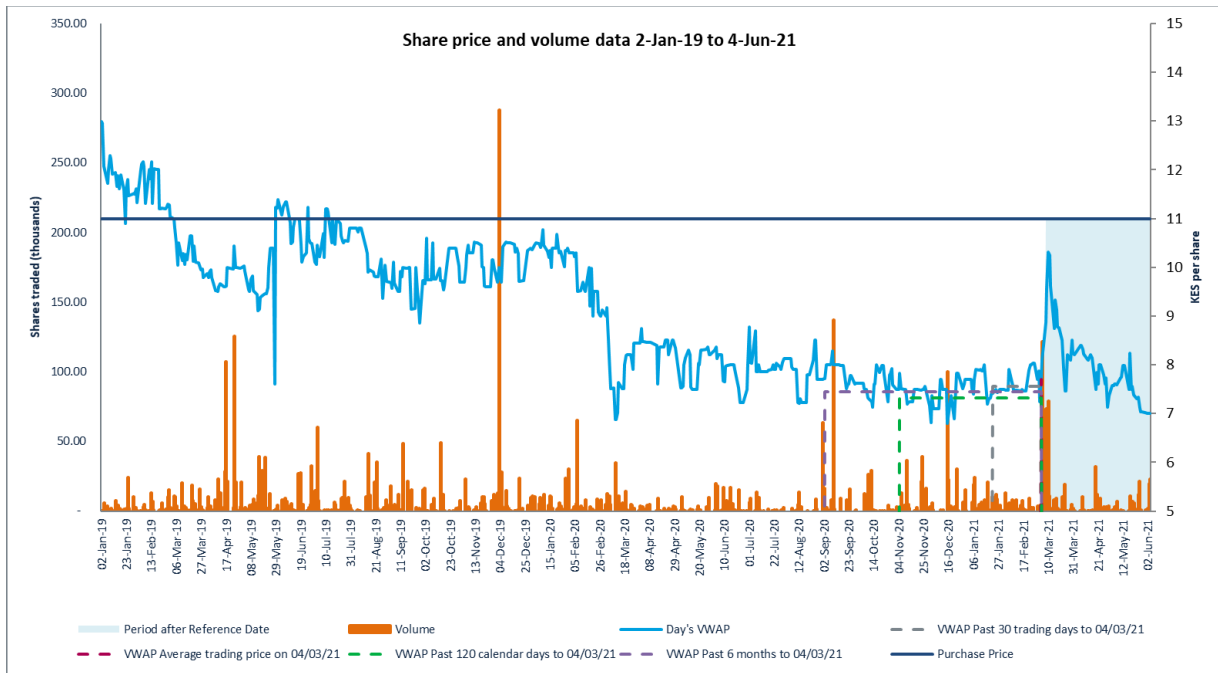
Each of the Proposed Acquisitions will be settled by Liberty Holdings in cash to the KFAMF Sellers and the Coronation Sellers ("**Purchase Price**") at an agreed price of KES 11 per Ordinary Share. The Purchase Price has been determined on the basis of willing buyer willing seller negotiations between Liberty Holdings and the KFAMF Sellers and the Coronation Sellers, respectively, based on a starting indicative fair price calculated using the weighted average of four valuation methods, namely, dividend discount model, discounted cash flow, price to book multiple and price to earnings.

The Purchase Price reflects a significant premium over the volume weighted average price at which shares of Liberty Kenya were trading on the NSE as set out in Table 1 below.

Table 1: Comparison of Purchase Price with traded market price on Nairobi Securities Exchange

Period	Past 30 trading days to 04/03/21	Average trading price on 04/03/21	Past 120 calendar days to 04/03/21	Past 6 months to 04/03/21
Period start date	22-Jan-21	04-Mar-21	05-Nov-20	03-Sep-20
Period end date	04-Mar-21	04-Mar-21	04-Mar-21	04-Mar-21
Number of trading days in the period	30	1	105	149
Sum of number of shares traded in the period	120,800	100	789,300	1,070,800
Sum of value of shares traded in the period (KES)	913,438	770	5,779,222	7,964,220
Volume weighted average price (VWAP) for period (KES / share)	7.56	7.70	7.32	7.44
Purchase Price of KES 11.00 per share represents Implied premium to VWAP for the stated period of:	45.5%	42.9%	50.3%	47.8%

In addition, we set out in the graph below the data we used to calculate the volume weighted average price.



Source: Stanbic analysis of data from CapitalIQ

Post-transaction shareholding structure

The pro-forma shareholding of Liberty Kenya will be as follows when the Proposed Acquisitions is set out in Table 2 below:

Table 2: Pro-forma impact of Proposed Transactions on Liberty Kenya shareholding

		----- Before -----		KFAMF Acquisition	Coronation Acquisition	-----After -----	
Shareholder name	Shares	%	Shares	Shares	Shares	%	
1. Liberty Holdings Limited	309,333,535	57.743%	49,543,920	34,692,010	393,569,465	73.467%	
2. African Liaison and Consultant Services Limited	82,250,289	15.354%			82,250,289	15.354%	
3. Standard Chartered Kenya Nominees Ltd A/C KE22446[1]	39,159,077	7.310%	-39,159,077		-	-	
4. Standard Chartered Nominees Non-Resd. A/C 9866 [2]	33,974,282	6.342%		-33,974,282	-	-	
5. Genghis Nominee A/C 029	27,000,000	5.040%			27,000,000	5.040%	
6. Stanbic Nominees Ltd A/C NR1031142[3]	5,345,350	0.998%	-5,345,350		-	-	
7. Standard Chartered Kenya Nominees Ltd A/C KE22816[4]	5,039,493	0.941%	-5,039,493		-	-	
8. The Permanent Secretary to the Treasury of Kenya (on behalf of the Government of Kenya)	4,602,008	0.859%			4,602,008	0.859%	
9. Mwangi, Peter Kingori	1,885,982	0.352%			1,885,982	0.352%	
10. Co-Op Custody Account 4006	1,490,597	0.278%			1,490,597	0.278%	
11. Others	25,626,886	4.784%			-717,728	24,909,158	4.650%
Total	535,707,499	100.000 %	-	-	535,707,499	100.000 %	

[1] (A) The Kimberlite Sale Shares are held by Standard Chartered Kenya Nominees Ltd, as custodian.

(B) The CAAF Sale Shares are held by Standard Chartered Kenya Nominees Ltd. as sub- custodians of JP Morgan Chase.

[2] The CAFF Sale Shares are held by Standard Chartered Nominees Non- Resd. as sub- custodians of JP Morgan Chase.

[3] The Vanderbilt Sale Shares are held by Stanbic Bank Kenya Limited, as custodian.

[4] The Kimberlite Sale Shares) are held by Standard Chartered Kenya Nominees Ltd, as custodian.

Advisers

SBG Securities Limited are the appointed financial advisers for the Proposed Acquisitions.



Coulson Harney LLP (Bowmans Kenya) are the legal advisers to Liberty Holdings in respect of the Proposed Acquisitions.



Other regulatory approvals

Each of the Proposed Acquisitions requires the following and is conditional upon receipt of the additional regulatory approvals (some of which have already been obtained):

- (i) approval from the Kenya Insurance Regulatory Authority under section 166(1A) of the Insurance Act (the “**Kenya Insurance Regulatory Authority Approval**”);
- (ii) as Liberty Holdings is a South African financial services holding company listed on the exchange operated by the JSE Limited:
 - a. approval from the South African Prudential Authority in terms of section 51(1) of the South African Insurance Act No 18 of 2017 (**Section 51 SA Insurance Act Approval**) and section 52(1) of the South African Banks Act 94 of 1990 (**Section 52 SA Banks Approval**); and
 - b. approval from the Financial Surveillance Department of the South African Reserve Bank (**SA Financial Surveillance Approval**); and
- (iii) the Tanzanian Fair Competition Commission shall have granted its written approval for the acquisition by Liberty Holdings of the Sale Shares (**FCC Approval**).

We have, as at the date of this Circular:

- (i) obtained the Kenya Insurance Regulatory Authority Approval, the SA Financial Surveillance Approval, the Section 52 SA Banks Approval and Section 51 SA Insurance Act Approval; and
- (ii) not yet obtained the FCC Approval.

No additional regulatory approvals are required under applicable law to complete the Proposed Transaction. Announcements in respect of the Proposed Acquisitions have been made in the national press in Kenya.

Timing

It is anticipated that the transfer of the Sale Shares described above will be completed within two months of the date of this Circular.

Information on the buyer

Name	Liberty Holdings Limited
Particulars of major shareholders	Shareholders holding more than 3% of Liberty Holdings shares as at 30 April 2021: Standard Bank Group Limited (53.62%) Government Employees Pension Fund (7.08%) Liberty Group Limited (4.65%) Citiclient Nominees No 8 NY GW (4.19%) Liberty Holdings is a subsidiary of Standard Bank Group Limited that is its ultimate holding company.
Particulars of directors	Jacko Maree Sim Tshabalala Yunus Suleman David Munro Yuresh Maharaj Jim Sutcliffe Nooraya Khan Laura Hartnady Prins Mhlanga Thembisa Skweyiya Carol Roskrige Cele Simon Ridley Howard Walker Nick Criticos
Particulars of management	David Munro- Group Chief Executive Yuresh Maharaj-Group Financial Director John Maxwell-Chief Executive: Emerging Consumer Markets and Direct Financial Services Derrick Msibi-CEO: STANLIB Giles Heeger-Executive: Libfin Jeff Hubbard-Group Executive: Business Development Thiru Pillay-Executive: Compliance, Forensic and Legal Ben Marais-Chief Information Officer Phil Harrison-Chief Risk Officer: Actuarial and Risk Brian Kipps-Managing Executive: Investment Solutions Sunil Nagar-Executive: Retail Operations Pumeza Bam-Executive: Human Capital Thabang Ramogase-Executive: Brand Marketing & Communication David Jewell-Group Executive: Retail Solutions Johan Minnie-Group Executive: Client and Adviser Experience Amelia Beattie-CEO: Liberty Two Degrees
Registered Address	1 Ameshoff Street, Braamfontein, South Africa, 2001
Core business	Insurance and asset management

Information on the sellers in respect of the Proposed KFAMF Transaction

Name	Conrad N. Hilton Foundation
Registered Address	30440 Agoura Road, Agoura Hills, CA 91301, United States of America
Core business	Charitable Foundation
Name	Kimberlite Frontier Africa Master Fund, L.P.
Registered Address	89 Nexus Way, Camana Bay, Grand Cayman KY1-9009, Cayman Islands

Core business	Fund
Name	Vanderbilt University
Registered Address	2100 West End Ave, Nashville, TN, 37203, United States of America
Core business	University Endowment

Information on the sellers in respect of the Proposed Coronation Transaction

Name	Coronation Fund Managers (Ireland) Ltd on behalf of Coronation Africa Frontiers Fund
Registered Address	Suite One, 2 Grand Canal Square, Macken Street, Dublin D02 A342, Ireland
Core business	The fund invests predominantly in listed instruments that derive the bulk of their value from operating in Africa, covering equities, fixed income and currencies.
Name	Coronation Fund Managers (Ireland) Ltd on behalf of Coronation All Africa Fund
Registered Address	Suite One, 2 Grand Canal Square, Macken Street, Dublin D02 A342, Ireland
Core business	The fund invests predominantly in listed instruments that derive the bulk of their value from operating in Africa, covering equities, fixed income and currencies.

Statement by the Financial Adviser of the Proposed Transaction

SBG Securities Limited is, on behalf of Liberty Holdings, managing the Proposed Transaction in relation to the purchase of the Sale Shares by Liberty Holdings. To the best of its knowledge and belief, the application for approval of the private transfer constitutes full and true disclosure of all material facts about the offer to purchase the Sale Shares as well as in relation to Liberty Holdings and the Sellers.

SBG Securities Limited

Declaration by Directors

The application to the Authority under regulation 57(d) of the Licensing Regulations and the Proposed Acquisitions have been approved by the directors of Liberty Holdings all of whom jointly and severally accept responsibility for the accuracy of the information given in this Circular and confirm that, after making all reasonable inquiries and to the best of their knowledge and belief, there are no facts the omission of which would make any statement herein misleading.

Director

for and on behalf of

Liberty Holdings Limited